13.4.2 Ministerial Conference of Geneva

The Ministerial Conference of Geneva in May 1998 followed the Singapore Ministerial Conference. It was mainly aimed at celebrating the 50th anniversary of multilateral trading system. The developing countries, led by India, opposed to the idea of a new round of negotiations before a thorough review of the outcome of the Uruguay Round. The developing nations argued that they could still not meet the obligations undertaken in the Uruguay Round. The Cairns group (a group of 20 agricultural exporting countries composed of Argentina, Australia, Bolivia, Brazil, Canada, Chile, Colombia, Costa Rica, Guatemala, Indonesia, Malaysia, New Zealand, Pakistan, Paraguay, Peru, the Philippines, South Africa, Thailand, Uruguay, and Vietnam) insisted on the elimination of agricultural subsidies as a precondition for a new round.

A "semaphore system" or the "boxes" of agricultural support was devised by the Uruguay Round negotiators (see Table 13.1). These boxes referred to the "colour-coding of support programmes according to their degree of distortion and hence their status under the Agreement on Agriculture's scheme of commitments and restrictions". The Red box, though a purely theoretical construct, depicted the subsidies that members are prohibited from offering. The Blue and Green boxes contained the exempt forms of support. In between, the Amber box referred to the zone of maximum commitment.

Table 13.1: The Semaphore System of Agricultural Production Subsidies

	Definition	Examples	Uruguay Round Commitments
Red box	Prohibited policies that are illegal.	No forms of domestic support are currently in the red box.	Not allowed.
Amber box	Non-exempt, trade-distorting policies that are subject to review and reduction over time.	Market price support, direct payments and import subsidies.	*De minimis* supports were allowed up to certain limits; caps were set on the support of members that historically had above *de minimis* levels, which were then subject to reduction by 20 per cent for developed members over five years and by 13.3 per cent for developing members over ten years.
Blue box	Exempt forms of support, including payments made in conjunction with production-limiting programmes.	Production is required to receive the payments, but the actual payments do not relate directly to the current quantity of that production.	No limits.
Green box	Exempt policies that are not subject to limitations.	"Decoupled" payments not linked to production decisions, research or training, pest and disease control, inspection services, marketing and promotion services, certain food aid etc.	No limits.

Source: The History and Future of the World Trade Organization, WTO (2013).

The European Commission (EC) refused to that and, along with Japan, stressed upon issues related to trade and investment and trade and competition. Several weeks of negotiations could not break the deadlock. As a result, the Seattle Ministerial Meeting in 1999 could not agree on an agenda. This marked an unprecedented challenge to the multilateral trading system.

13.4.3 The Doha Round

The Doha Round, also known as the Doha Development round, was launched at the 4th ministerial conference in Doha, Qatar in November 2001. It was predominantly aimed at making globalization pro-poor in nature through removal of agricultural subsidies. It covered a whole array of issues like market access in agriculture and manufactured goods, trade in services, TRIPS, trade and investment, trade and competition, transparency and government procurement, trade facilitation, WTO rules, dispute settlement, trade and environment, electronic commerce, small economies, trade, debt and finance, transfer of technology, special and differential treatment, and implementation-related issues and concerns. However, some of these issues were dropped from the negotiations. Till date, these rounds of negotiations are not closed, and disagreements still linger. It was even proposed to "officially kill" the round as the Doha negotiations have stalled. Though some less contentious issues such as trade facilitation and removal of trade barriers against exports from the LDCs (least developed countries) were negotiated successfully at the Bali Round of 2013, individual members have shifted their stance (the round has lasted well over a decade) under the ever-changing global economic environment.

13.4.4 The Bali Round

The last ministerial meeting was held at Bali, Indonesia in December 2013. As discussed earlier, the member countries had agreed to a limited agreement consisting of a multilateral agreement on trade facilitation, an agreement for the reduction of lowering barriers to exports from LDCs and a four-year peace clause (Article 13 of the World Trade Organization's Agreement on Agriculture). This peace-clause, insisted by India, was meant to shield public stockholding programs for food security in developing countries with the promise to find a permanent solution to the problem before the expiry of this peace clause. This agreement was to be ratified in July 2014. However, India had a change of government in May 2014 and the new government had the view that "the peace-clause was not good enough and the permanent solution to the public stockpiling for food security must be reached simultaneously with the signing of the remainder of the agreement" (Bhagwati et al, 2014).

13.4.5 The Nairobi Round

This ministerial conference was held at Nairobi, Kenya in December 2015. To protect the developing nations from the market volatility, the members decided on 'Special Safeguard Mechanism' (SSM) for developing countries. As per this mechanism the developing countries were allowed to increase tariffs on agricultural products temporarily in case of high imports or fall in price. The objective behind this SSM was to mitigate the distortions in agriculture trade and the price volatility risks. We can say that SSM acted as a trade remedy tool. This ministerial conference also looked at the agricultural export subsidies. The members took a historic decision of eliminating the agricultural export subsidies. It was a significant reformatory step for agriculture trade. This levels the playing field for exporters of agricultural products as it eliminated any possibility of trade distortion due to absence of subsidies. In particular, the poor farmers were to stand at benefit.

13.4.6 The Geneva Round

This was the second time when the ministerial conference took place in Geneva (first time it was held in 1998) in June 2022. After the negotiations among delegations, the 'Geneva Package' was adopted. It is a package of agreements which include ministerial declaration on emergency response to food insecurity, ministerial decisions on World Food Programme (WFP), response to COVID -19 and preparedness for future pandemics, agreement on trade-related aspects of intellectual property rights, E-commerce Moratorium and Work Programme, Agreement on Fisheries Subsidies.

To protect global fish stocks, a multilateral agreement has been passed to control harmful subsidies for the next four years on illegal, unreported and unregulated fishing. However, the artisanal fishing and traditional farmers would not face any restrictions under this agreement. A binding decision to excuse the food purchases by UN under the WFP for humanitarian purposes, from any export restrictions was also taken. The importance of food trade in context of global food security was emphasised and the WTO members issued a declaration that they would avoid bans on food exports keeping the domestic food security under consideration. WTO had first imposed custom duties on electronic transmissions in 1998. E-commerce transactions, which include digitally traded goods and services are now very common unlike during 1998. The developing countries lose a huge potential tariff revenue from the imports of digital products. Given the financial consequences of the moratorium, India has asked the WTO to review the extension of the moratorium. To ease the process of manufacturing and access of COVID-19 vaccines, the WTO members have temporarily waived the intellectual property patents on Covid-19 vaccines without the consent of patent holder for 5 years.

13.5 REASONS FOR FAILURE OF WTO NEGOTIATIONS

Baldwin (2016) points out a set of external and internal reasons for this failure of the multilateral trading system. We discuss such reasons in this section.

13.5.1 Internal Reasons

The internal reasons predominantly refer to the changes in the functioning of the multilateral trade negotiations that took place in the WTO vis-à-vis the GATT. During the GATT negotiations, multilateral negotiations involved the Quad (the United States, the European Union, Japan and Canada). They bargained over tariff cuts among themselves and allowed the developing-nations to enjoy the benefits of such freer trade. In contrast to that, the WTO negotiations were based on the requirement of binding tariff cuts and other policy commitments from all but the poorest members. This led the developing member nations to voice their disagreement in unison during the Doha Rounds. They united to object to the provisions that threatened their domestic interests. Thus, the only North-North negotiations under the GATT were replaced by North-South negotiations under the WTO. The underlying interests were vastly different, making the negotiations way more complicated.

13.5.2 External Reasons

1) ***Lost dominance of the advanced economies***: This happened predominantly due to two reasons. First, as discussed earlier, the Quad (the United States, the European Union, Japan and Canada) dominated the world economy. The Quad accounted for two-thirds of world imports. However, with the emergence of the developing the nations, this share reduced drastically to only half of world imports. Second, the number of member countries engaged in the multilateral framework had grown significantly. This shifted the power within the multilateral structure. Since 1986 over 70 developing nations had joined and half of them joined after the formation of the WTO. China, one the most prominent economic powers in the world, joined the WTO only in 2001. Now, as discussed earlier, such shifting in power and the very structure of the WTO had made negotiations much more complex in nature.

2) ***Regionalism***: Regionalism began much before the World Wars, with Belgium clubbing up with Luxembourg in 1921. Post-World War II, formation of the BENELUX (Belgium, the Netherlands and Luxembourg) announced a new era of regional economic cooperation. However, as discussed in detail later in Unit 14, regional trading blocs proliferated particularly after 1993. Now, the question is what has regionalism too with the WTO negotiations? The answer is simple. Regional economic co-operations among countries shifted more weight towards small bloc formation rather than multilateral co-operation. In most cases, regional

trading agreements (RTAs) involve deeper degrees of cooperation among the member states than mere tariff reduction. In fact, Baldwin (2016) argues that "the rise of regionalism probably made it harder to conclude the Uruguay Round".

3) ***Unilateral tariff reductions by developing countries***: As Ethier (2011) points out, the new wave of regionalism, the form of regional economic cooperation that started from the mid-1980s, is very different from that before. Ethier (2011) calls it "Contemporary Regionalism". This form of regionalism involves one or more small countries competing in terms of reforms to link up with a large country. The key is inflow of foreign capital to these small developing capital scarce nations. The smaller countries would go for unilateral tariff liberalization (exactly what India did in 1991) and other economic reforms in the domestic fronts to attract foreign capital. Moreover, staying outside any RTA increases the cost for the country as more members join that RTA. Thus, the traditional view of protecting domestic industries and following an import substitution development agenda, had been replaced by a more liberalized structure that allows for offshoring and reciprocal RTAs. Baldwin (2016) argues that "Because two-way tariff cutting had been the main fuel for the political economy juggernaut of trade liberalization, this unilateralism made multilateral talks less attractive to many developed members whose exporters saw their sales to developed nations boom even as Doha Round staggered from failure to failure".

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Provide a summary of the first ministerial conference of WTO.

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2) What is 'semaphore system'? Briefly discuss.

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3) Enlist the three external reasons behind the failure of WTO negotiations.

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13.6 THE WAY FORWARD

The WTO was founded to establish a world trading system free from any distortion. This was to be achieved through multilateral negotiations, ultimately achieving global free trade. However, as we have already seen, since the inception of the WTO, the negotiations were marred with conflicting interests. Such conflicts led to the deadlocks in all the rounds of negotiations culminating in the practical failure of the Doha rounds. Apart from these conflicts the other reason that has often been projected as the culprit is the unprecedented proliferation of regional trading agreements. Thus, whether regionalism plays the role of "stepping stones" or "stumbling blocks" towards achieving global free trade becomes crucial. In this section, we will focus on this debate and discuss the way forward for multilateralism.

13.6.1 Arguments for Stumbling Blocs

1) RTAs are inherently discriminatory in nature. RTAs lead to benefit the members at the expense of non-members. This is in direct conflict to the notion of multilateralism. In particular, trade diversion (discussed in detail in Unit 14) arising out of an RTA relocates production to an inefficient member from an efficient non-member leading to loss in efficiency. The WTO principles of MFN (most favoured nation) and reciprocity tried to solve this problem. However, violation of MFN leads to weakening of reciprocity.

2) With the advent of "contemporary regionalism", RTAs involve trade and investments. Thus, RTAs have evolved beyond tariff and non-tariff barriers but have transcended into the domain of FDIs. This is particularly significant for small developing countries that went for unilateral liberalization and other reforms to attract FDIs from developed nations. This form of regionalism absorbs resources away from multilateral negotiations creating havoc for multilateral liberalization.

3) One more offshoot of this contemporary regionalism is that large countries prefer to get into bilateral agreements with only those small countries that offer higher profits for them. Rampant advertisement by Gabon of giving unmatched tax benefits to investors is a glaring example. Thus, regionalism trumps multilateralism.

4) Smaller countries having no or negligible market power in the global economy prefer to club together as a single economic entity by forming RTAs among them. Global free trade would erase this market power.

5) RTAs erode the political support for multilateralism. This becomes even more important when develop countries try to impose non-trade issues like intellectual property rights and labour standards during negotiations. For example, emerging economies of India, China and Brazil are strictly opposed to further proliferation of non-trade issues in the WTO.

6) RTAs are likely to increase the adjustment costs associated with multilateral liberalization, thus making multilateralism less desirable.

7) Different countries have different regulatory structures and standards. This also makes multilateral negotiations complicated.

13.6.2 Arguments for Stepping Stones

Before proceeding to analyse the arguments in favour of RTAs are "stepping stones" to multilateralism and finally to Global Free Trade (GFT), we need to examine the theoretical process though which an existing RTA can enlarge itself to a Multilateral structure or GFT. The movement from a multilateral trade negotiation (MTN) to GFT depends on whether the countries involved practice open regionalism or unanimous regionalism. Open regionalism implies that a country can join the RTA without any restrictions. On the other hand, unanimous regionalism means that all the already existing members must agree unanimously for a new country to join an existing RTA. Baldwin (2006) provides a lucid exposition of this process.

To start with, let's assume a country setting unilateral (welfare maximizing optimal) tariffs on its import from the rest of the world and an MTN has been announced. That is, reciprocal trade liberalization among potential member countries is going to be negotiated. It results in an increase in the marginal cost of supplying protection as exporters now lobby the government to reduce tariffs. This changes the whole array of political forces within the country. The exporters lobby would now pitch in to support trade liberalization as that would reduce the price they face in foreign markets making them more competitive. The importers lobby would oppose as they would be facing stronger competition from foreign counterparts. As Baldwin (2006) argues, "the result is that now all nations participating on the basis of reciprocity find it politically optimal to cut tariffs somewhat". This is known as the **Juggernaut** effect. The ultimate decision of joining or not joining depends on the size of the exporters and import-competing industries. If the size of the export group is larger, then the political equilibrium in the economy shifts towards to pro-membership. This process becomes even more relevant when one country joins the MTN. One member's decision to join an MTN leads others to follow as staying outside would become more costly, and the political forces in the non-member countries would further lobby so that the government decides to join the group. This is known as the **Domino** effect. According to the domino theory, the formation of a RTA raises the value of entering a RTA for non-members, and therefore leads to a spate of RTAs in the future (Baldwin, 1995). The Domino effect can then start the process of Juggernaut effect. This will weaken the anti-membership forces and increase the strength of the pro-membership forces. This process will imply that when another round of reciprocal multilateral negotiations is launched, pro-liberalization political pressure will be stronger and anti-liberalization pressure weaker. Hence, RTAs are building blocks for multilateral liberalization.

Having discussed the Juggernaut and Domino effects, we can analyze the arguments in favour of "regionalism acting as a stepping stone to multilateralism".

1) Proliferation of RTAs would lead to further multilateral liberalization. As one RTA is formed, it becomes costlier for the non-members to stay outside the bloc.

2) RTAs act as "laboratories" of international cooperation – economic cooperation can be tested in a small group of countries before extending it to the rest of the world. One country may lack the political support necessary for GFT. However, as it enters an RTA, it may find it easier to pursue GFT though multilateralism.

3) In a world looking like a "spaghetti bowl" of bilateral and multilateral agreements, harmonizing the rules becomes imminent. With modular production structures becoming the order of the day, unified and synchronized rules of origin can only be achieved through multilateral negotiations.

13.7 LET US SUM UP

In this unit we discussed the characteristics, evolution and prospects of multilateral trading system. We start with a brief discussion of the General Agreement on Tariffs and Trade (GATT) and its four phases in order of the chronology of its rounds of negotiations. Next, we moved to the discussions on the Uruguay round stressing on the issues, negotiations, achievements and the birth of the World Trade Organization (WTO). We then analysed the different rounds of the WTO negotiations as they evolved over time. We focused on the issues, conflicts of members over these issues and the changing nature of the negotiations over time. While discussing the WTO rounds we found that deadlocks marred these negotiations; hence, we tried to understand the reasons for the failure of the WTO rounds, particularly the Doha round. In the next section we introduce the debate of whether regionalism acts as a "stepping stone" or "stumbling blocs" to multilateralism. We briefly discussed the arguments in favour of both the sides of this argument and in the process understood the future prospects of multilateralism.

13.8 KEY WORDS

Domino effect : The phenomenon when a non-member country finds it politically optimal to join an existing MTN.

GATT : General Agreement on Tariffs and Trade. An agreement signed by 23 countries to initiate multilateral trade liberalization.

Juggernaut effect	The phenomenon of member countries of an MTN finding it politically optimal to reduce tariffs based on the principle of reciprocity.
Multilateralism	Reciprocal agreements between multiple countries aiming at a common goal freer and fairer trade.
Regionalism	Reciprocal agreements between two or more countries which may or may not belong to the same geographical neighbourhood.
WTO	World Trade Organization. WTO is a supranational organization of 164 member nations that regulates international trade.

13.9 SOME USEFUL REFERENCES

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13.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See section 13.2
2) See section 13.3.1
3) See section 13.3.2

Check Your Progress 2

1) See section 13.4.1
2) See section 13.4.2
3) See section 13.5.2